

Fearnleys Dry Bulk Weekly

Jul 17, 2024

Bernhard Baardson



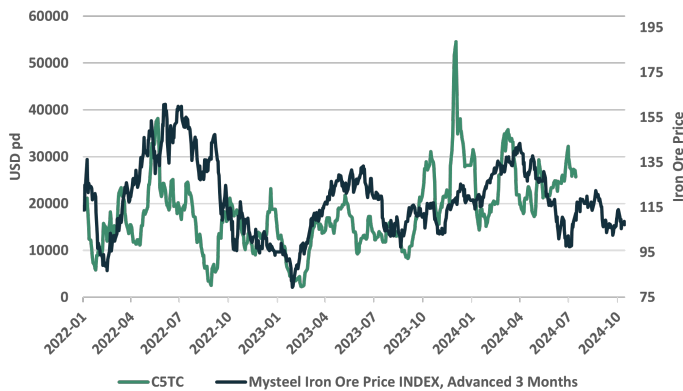
Capesize/Newcastlemax

The late June/early July rally was a bit weaker than we expected. In our previous report two weeks ago we pointed to the relatively low Kamsarmax market as one factor that could limit the upside. Further, congestion in China is lower now than earlier this year.

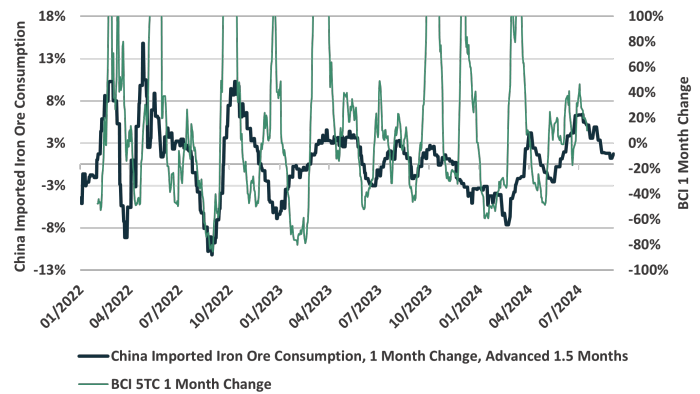
Some indicators shows the market could remain tight for the next few weeks, however. The count of laden vessels in the Atlantic remains around all-time highs, and the count of laden vessels in the Pacific have dropped sharply, which is often followed by a rebound.

China's imported iron ore consumption and iron ore prices suggest August and September will average lower than July.

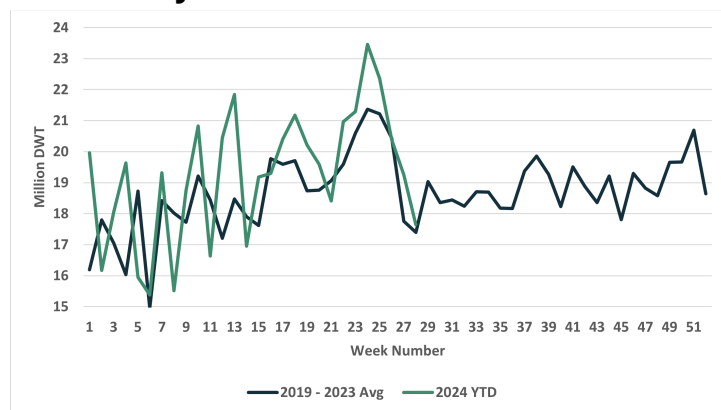
Iron Ore Price, Moved 3 Months Forward vs Capesize 5TC



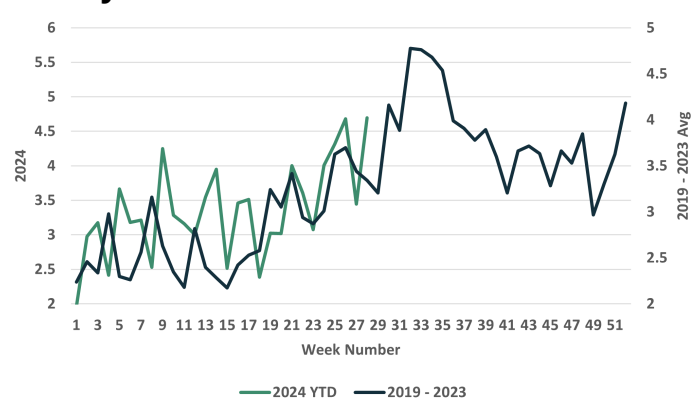
China Imported Iron Ore Consumption, 1 Month Change, Moved 1.5 Months Forward vs Capesize 5TC 1 Month Change



Capesize/Newcastlemax Australia Export Seasonality



Capesize/Newcastlemax Brazil Export Seasonality



Panamax/Kamsarmax

Vessels heading to ECSAM continues to drop, so bullish market support from that area is gone.

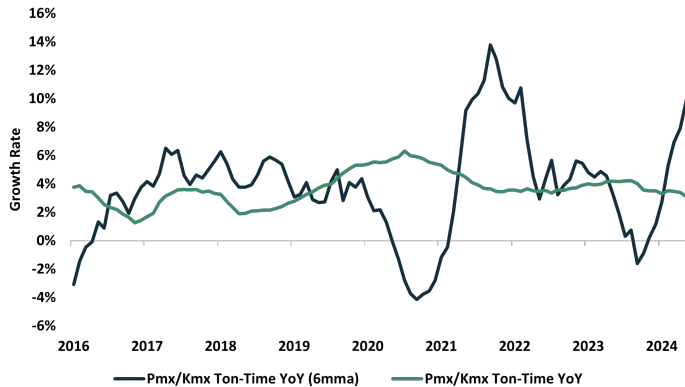
There has been a surge in vessels loading in the Pacific the last weeks, which has provided market support.

The Black Sea grains volumes have also increased in line with usual seasonal developments, which is another supporting factor.

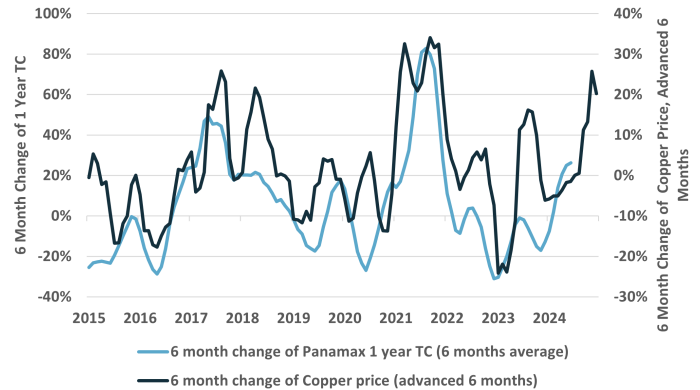
Otherwise we do not see any noticeable developments in AIS data the last couple of weeks, so there is no clear pointer direction-wise in the near-term.

Fundamentals remain bullish, with ton-time growth well above supply growth. Industrial metals prices suggest the markets will average higher during the second half of this year than the first.

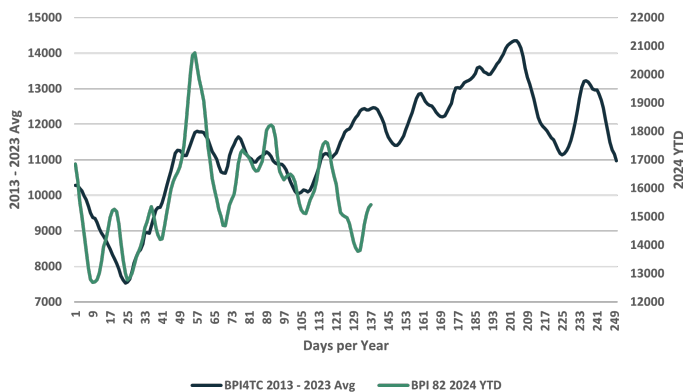
Panamax / Kamsarmax Ton-Time Growth vs Supply Growth



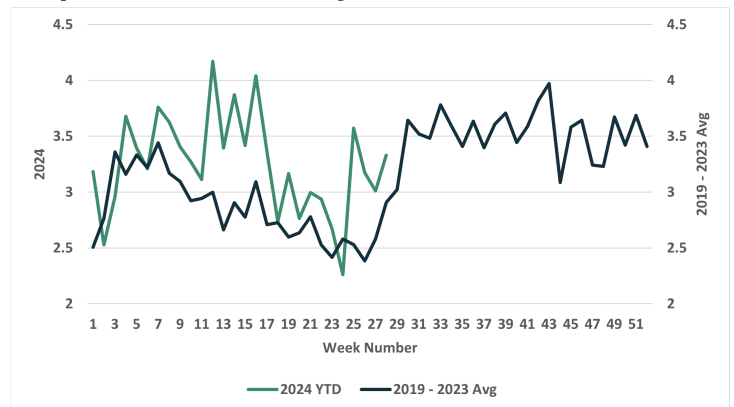
Copper Price Lead vs Panamax 1 Year TC



Panamax/Kamsarmax Seasonal Average Market Movement



Handysize - Kamsarmax Black Sea Grains Shipment Seasonality



Supramax/Ultramax

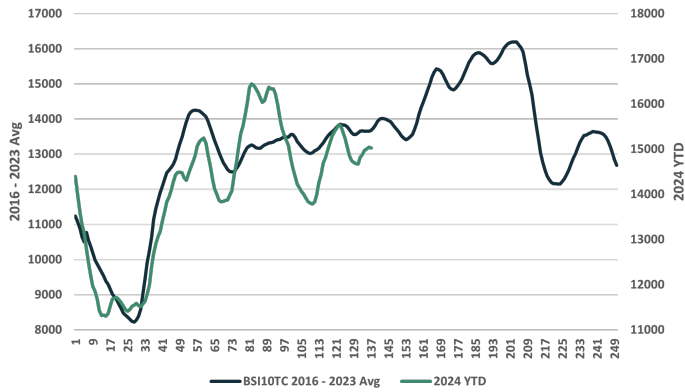
Like in the Panamax/Kamsarmax segment we do not see any noticeable development in AIS data suggesting any clear direction near-term.

If the market follows the average seasonal pattern, there will be a rally next month up to the high teens. Industrial metals prices indicates this might happen.

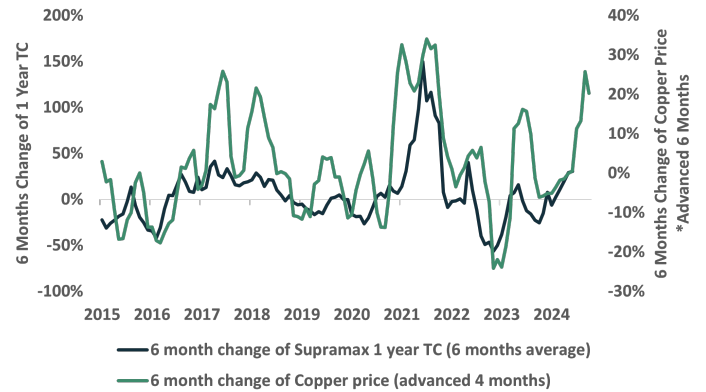
Otherwise, the container market disruptions continues, with Maersk stating that "The Red Sea disruptions have extended beyond Far East - Europe routes to the entire Ocean network". The markets might be boosted by this eventually.



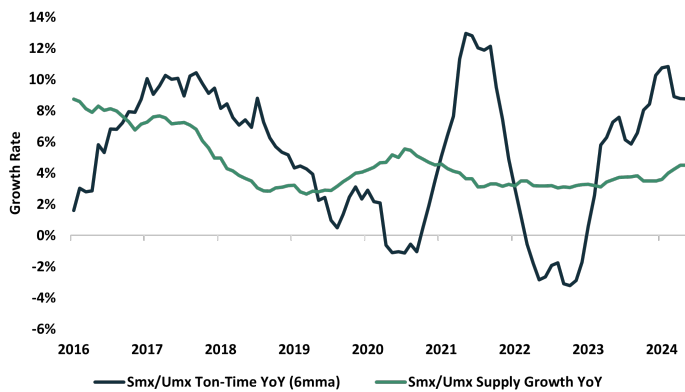
Supramax Seasonal Market Movement



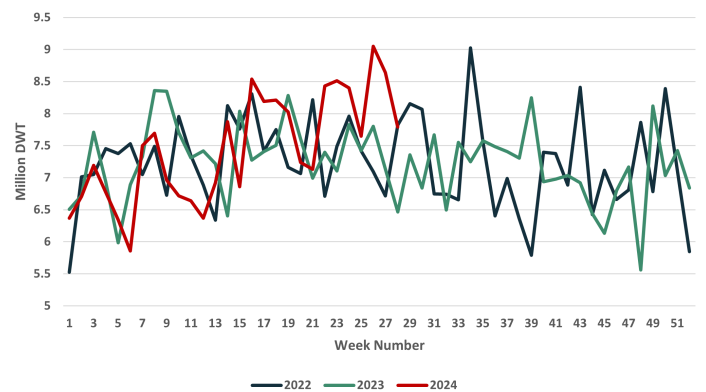
Copper Price Lead vs Supramax 1 Year TC



Supramax / Ultramax Ton-Time Growth vs Supply Growth



Supramax / Ultramax Atlantic Basin Loadings





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